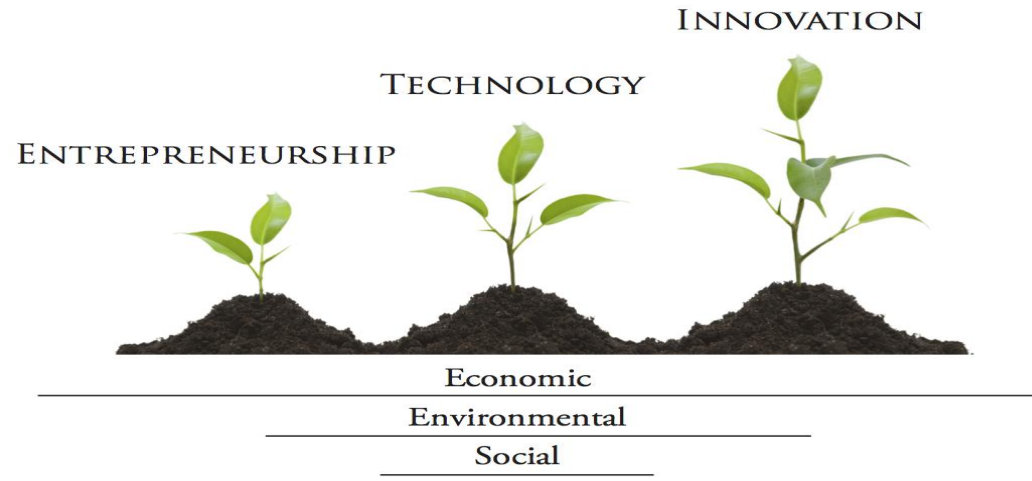




Entrepreneurship in IT

Ruba Awayes

Developing an Effective Business Model

What Is a Business Model?

- “A business model is what a business does and how it makes money.”
- A business model is a firm’s plan or recipe for how it creates, delivers, and captures value for its stakeholders.

Let is now define a Start-up

A startup is a **human institution** designed to create a new product or service under conditions of **extreme uncertainty**

A startup is a **temporary organization** that is in search of a **repeatable** and **scalable** business model

A startup is not a smaller version of a large company (i.e. it is not a doll house) Why is a startup not a smaller version of a large company?

Startups or SMEs

New products/ services

Innovation driven

New technology

New business model

High growth / potential

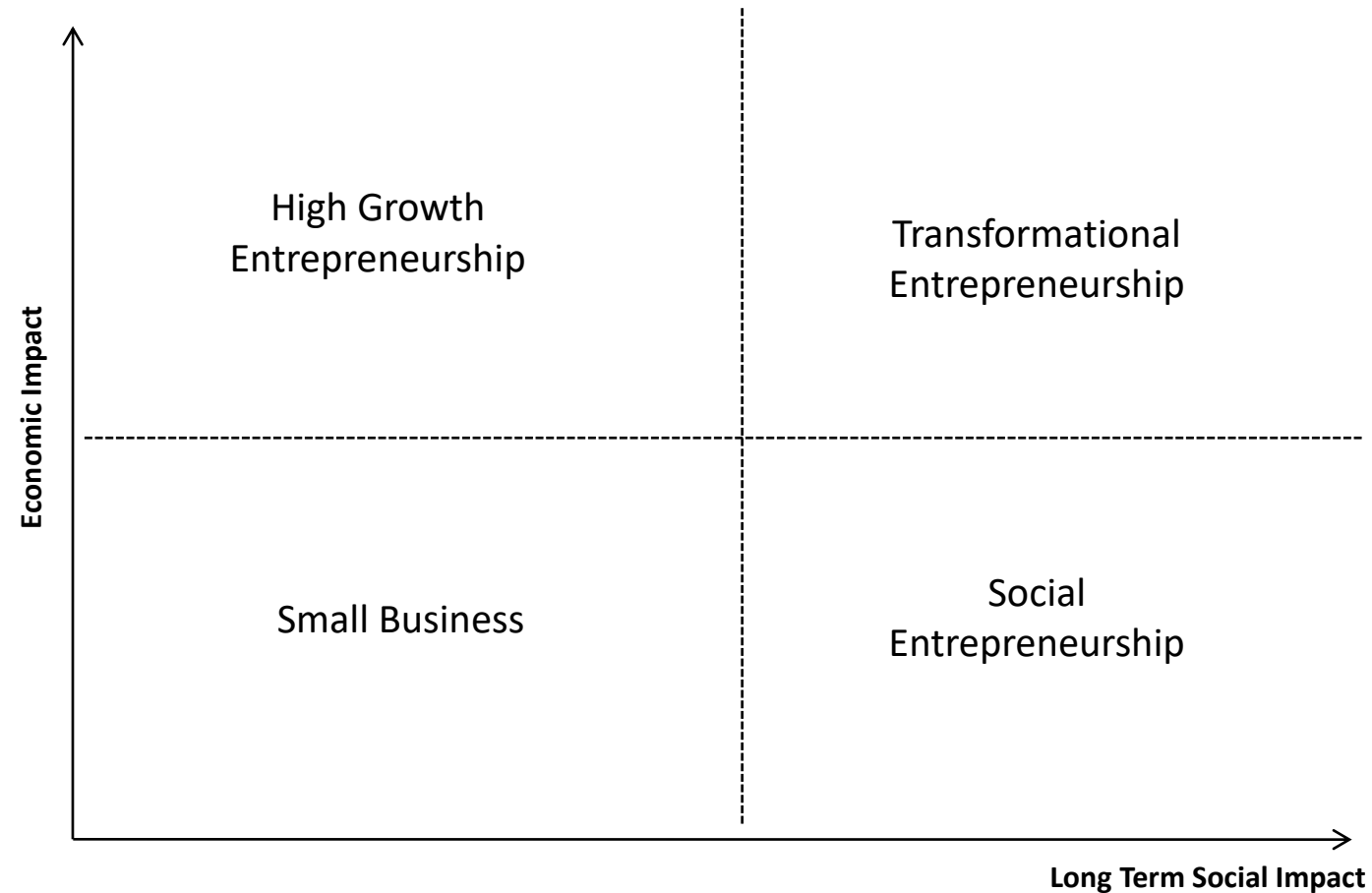
Replicate current product / services

Innovation is limited

Growth is limited (for most)

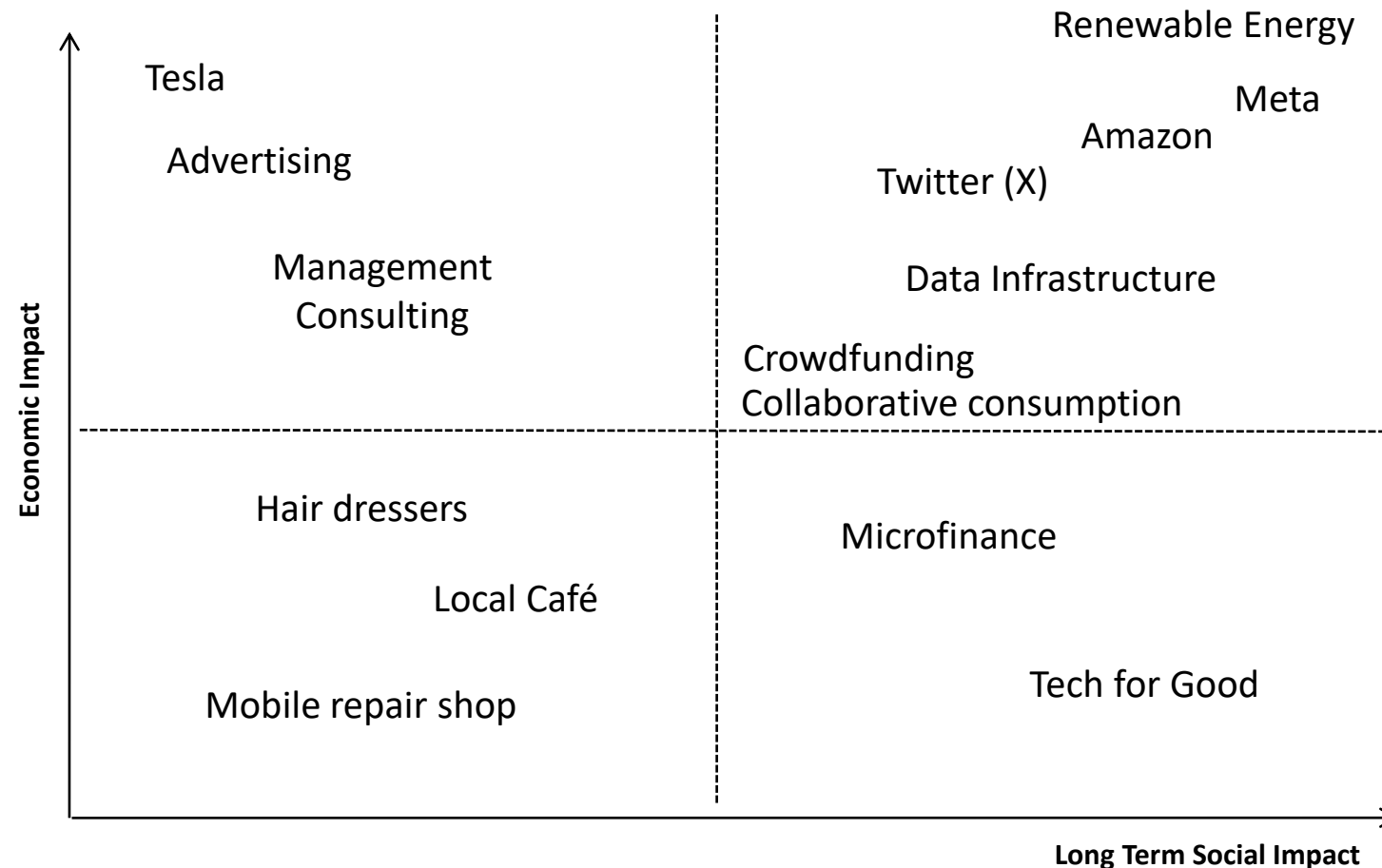
Value Creation

A Map of Socioeconomic Value Creation



Value Creation

A Map of Socioeconomic Value Creation



Business Models

- The proper time to develop a business model is following the feasibility analysis stage and prior to fleshing out the operational details of the company.
- A firm's business model is integral to its ability to succeed both in the short and long term.
- A firm's business model represents the core aspects of its business.

General Categories of Business Models (1 of 5)

- Standard Business Models
 - The first category is standard business models.
 - Standard business models depict existing plans or recipes firms can use to determine how they will create, deliver, and capture value.
 - There are a number of standard or common business models, which are shown on the next two slides.

General Categories of Business Models (2 of 5)

Standard Business Models (1 of 2)

Business Model	Representative Companies
Advertising Business Model	Google, Facebook, Pinterest
Auction Business Model	e Bay, DealDash
Bricks and Clicks Business Model	Apple, Allbirds, Barnes & Noble
Franchise Business Model	Panera Bread, 24 Hour Fitness
Freemium Business Model	Dropbox, Canva, Slack
Low-Cost Business Model	Southwest Airlines, Walmart
Manufacturer/Retailer Business Model	Apple, Fitbit, Tesla Motors

General Categories of Business Models (3 of 5)

Standard Business Models (2 of 2)

Business Model	Representative Companies
Peer-to-Peer Business Model	Airbnb, Careem
Razor and Blades Business Model	Game Consoles and Games, Printers and Ink Cartridges
Subscription Business Model	MadaTV, Spotify, Netflix
Traditional Retailer Business Model	Amazon, Whole Foods Markets

General Categories of Business Models (4 of 5)

- Disruptive Business Models
 - The second category is disruptive business models.
 - Disruptive business models, which are rare, are ones that do not fit the profile of a standard business model.
 - They are impactful enough that they disrupt or change the way business is conducted in an industry or an important niche within an industry.
 - The next slides depict four business models that were disruptive when they were introduced.

General Categories of Business Models (5 of 5)

Business Model	Company that introduced it
Direct-to-Consumer Computer Sales (which allowed consumers to customize their computers)	Dell
Online Text Ads on Search Engines (allowed advertisers to place ads for products that searchers were already searching for)	Yahoo, GoogleAds
Software as a Service (SaaS) (By moving software to the cloud, allowed users to access the software and their data from anywhere there was an Internet connection)	Salesforce.com
Cloud-based Service to Connect Riders and People Willing to Provide Rides (Provided riders with an app that connects them with the owners of private cars)	Uber, Lyft

What is a business model again? BMC?

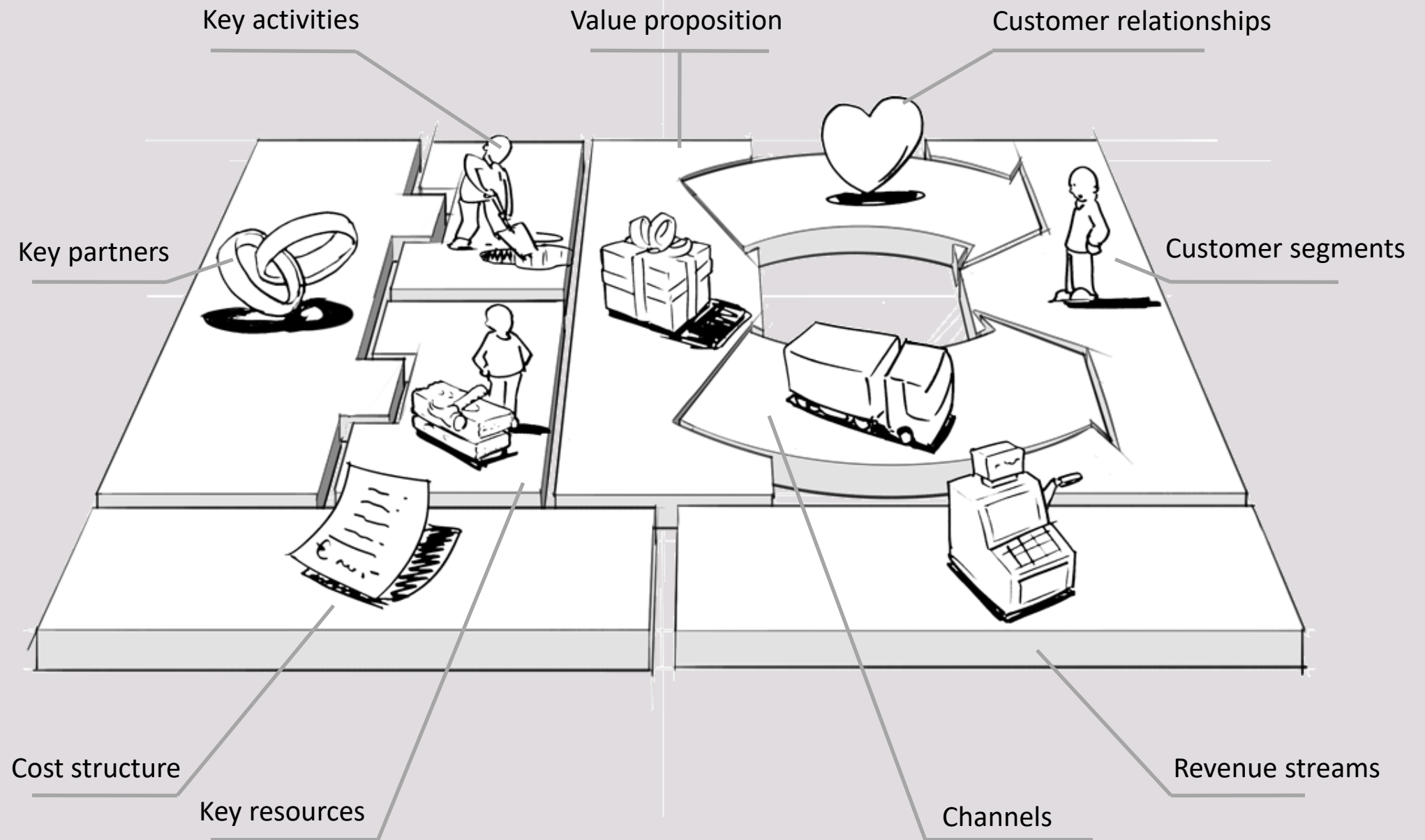
Diagram of flows between company and customers

Scorecard of hypotheses testing

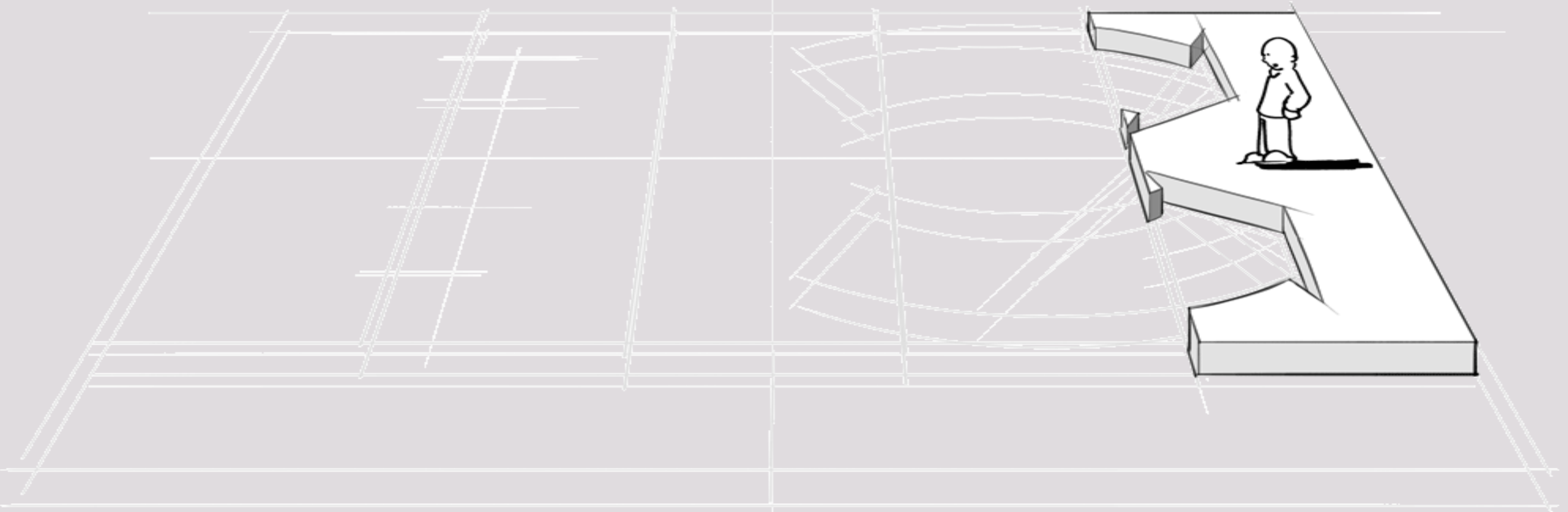
Dynamic: Allows rapid change with each iteration and pivot

Founder-driven

Business Model – 9 building blocks

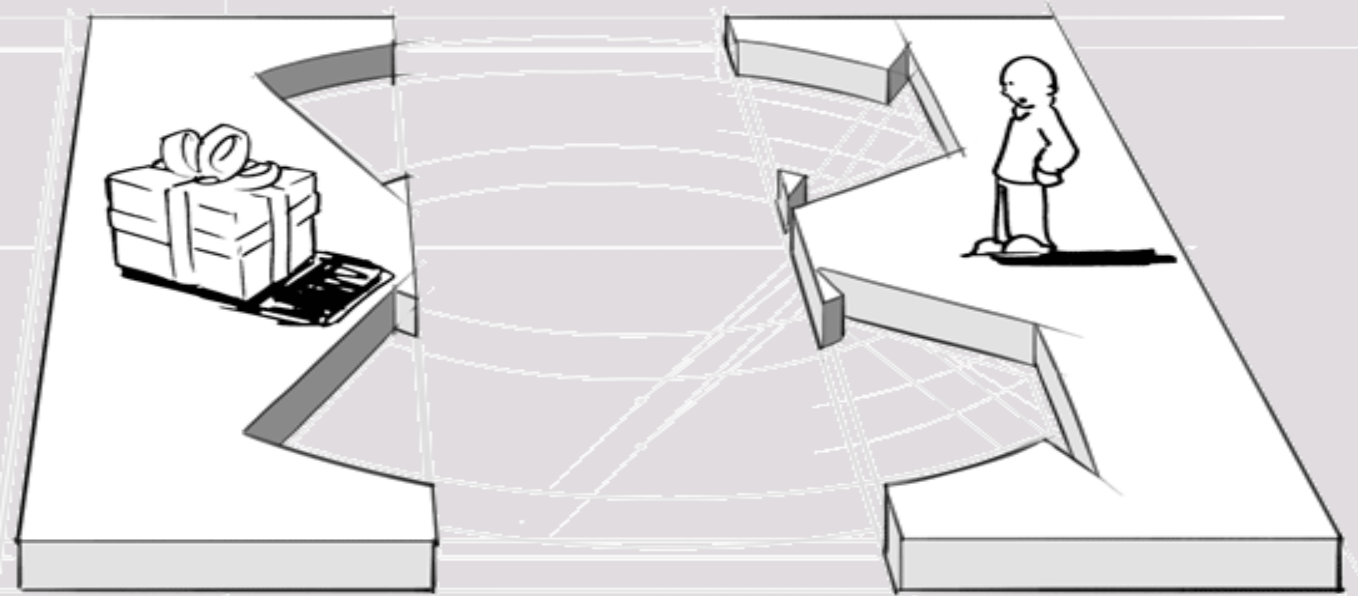


CUSTOMER SEGMENTS



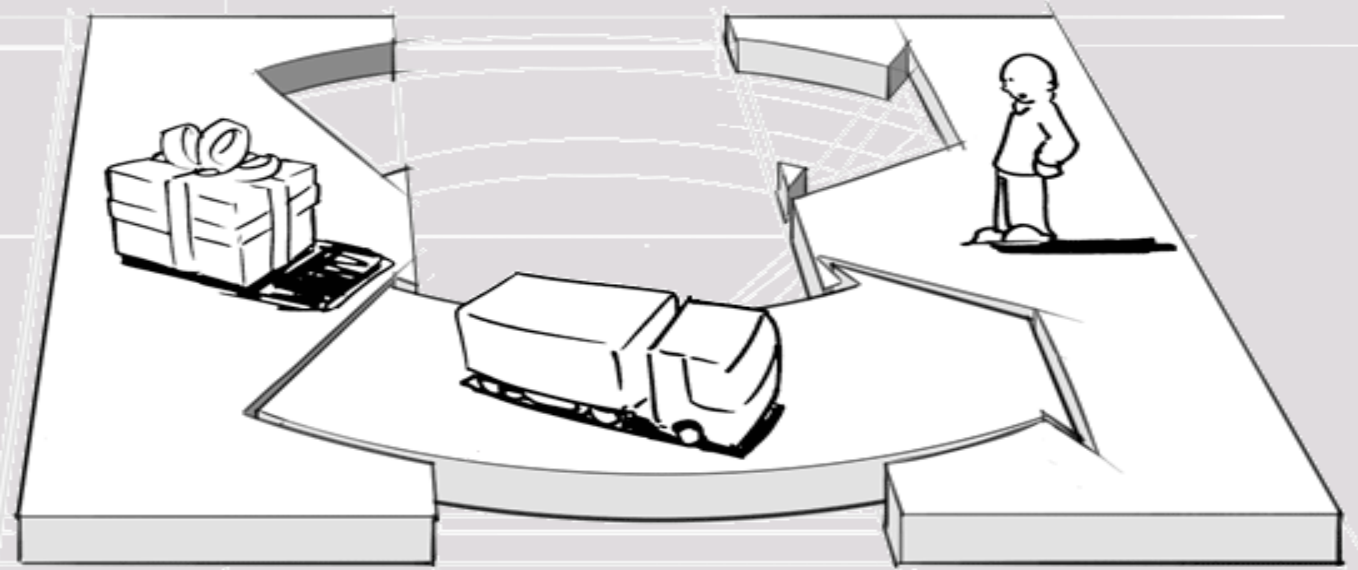
Which customers and users are you serving?
Which jobs do they really want to get done?

VALUE PROPOSITIONS



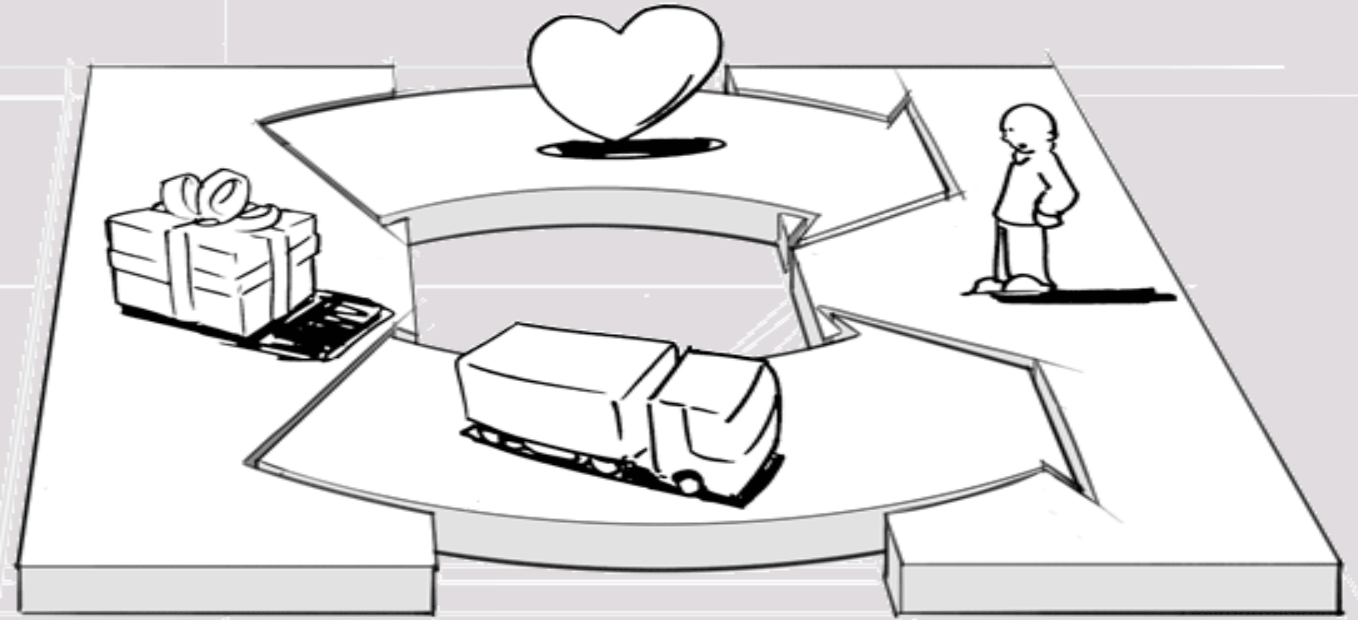
What are you offering them? What is that getting done for them? do they care?

CHANNELS



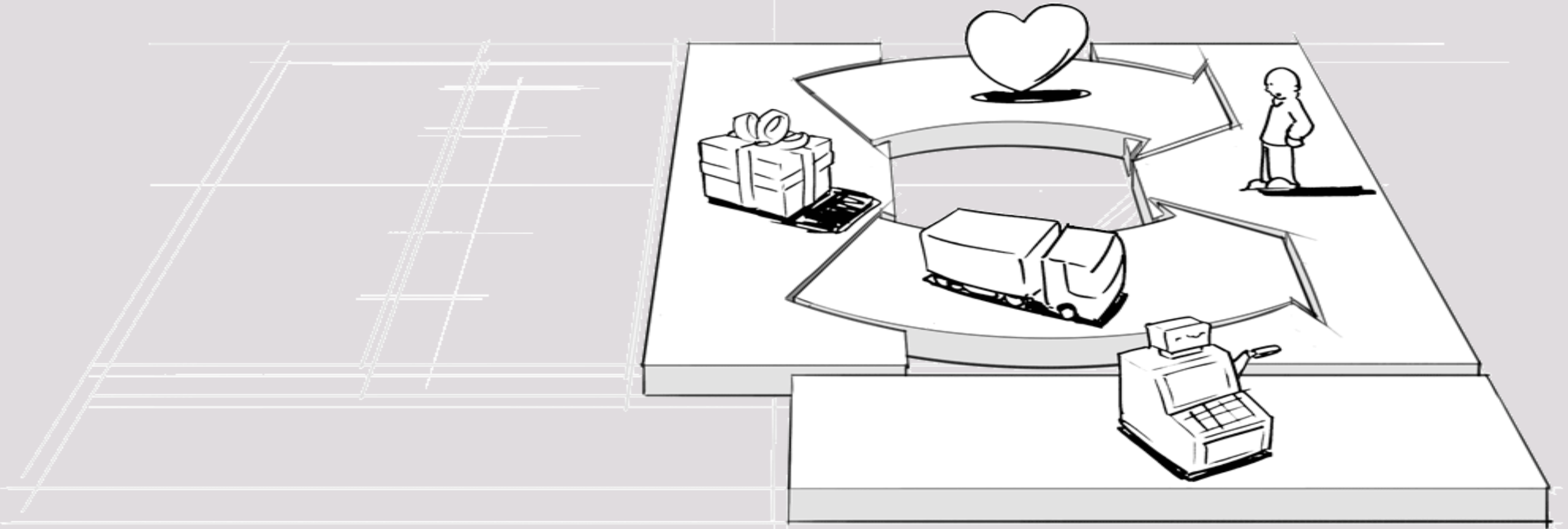
How does each customer segment want to be reached?
through which interaction points?

CUSTOMER RELATIONSHIPS



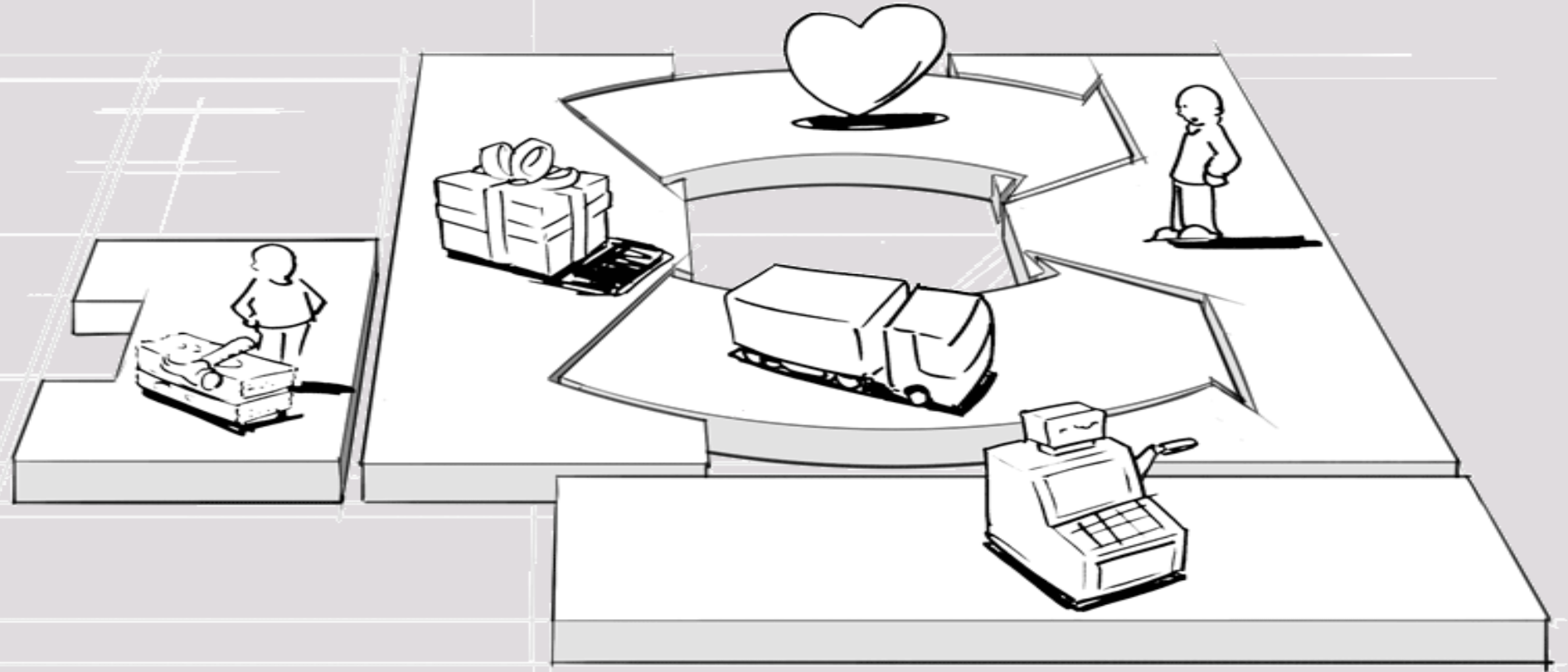
What relationships are you establishing with each segment?
personal? automated? acquisitive? retentive?

REVENUE STREAMS



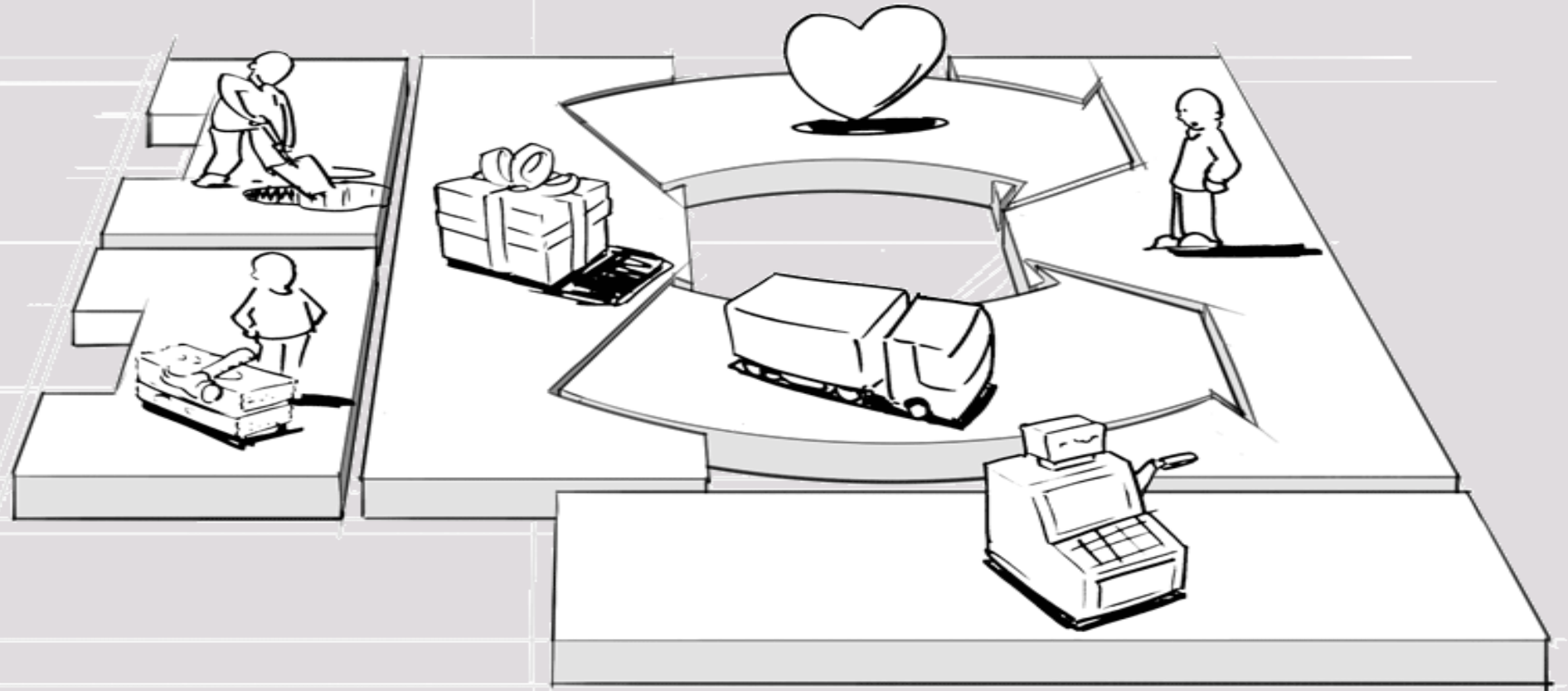
What are customers really willing to pay for? how?
are you generating transactional or recurring revenues?

KEY RESOURCES



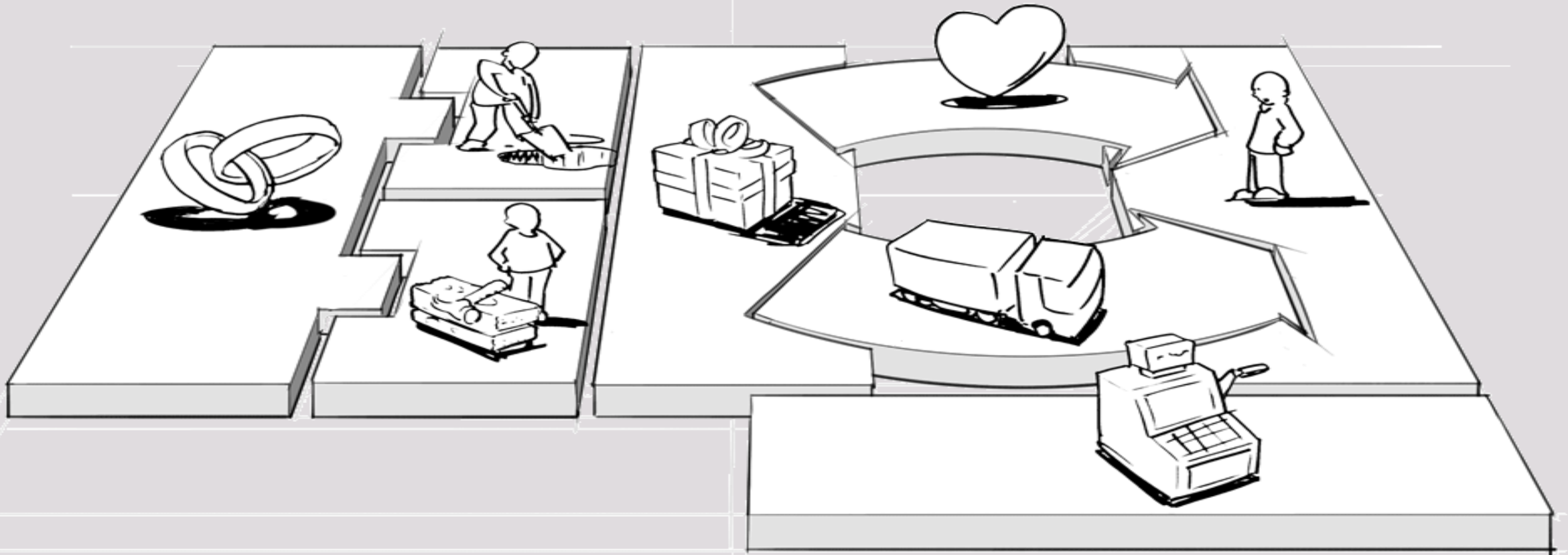
Which resources underpin your business model?
Which assets are essential?

KEY ACTIVITIES



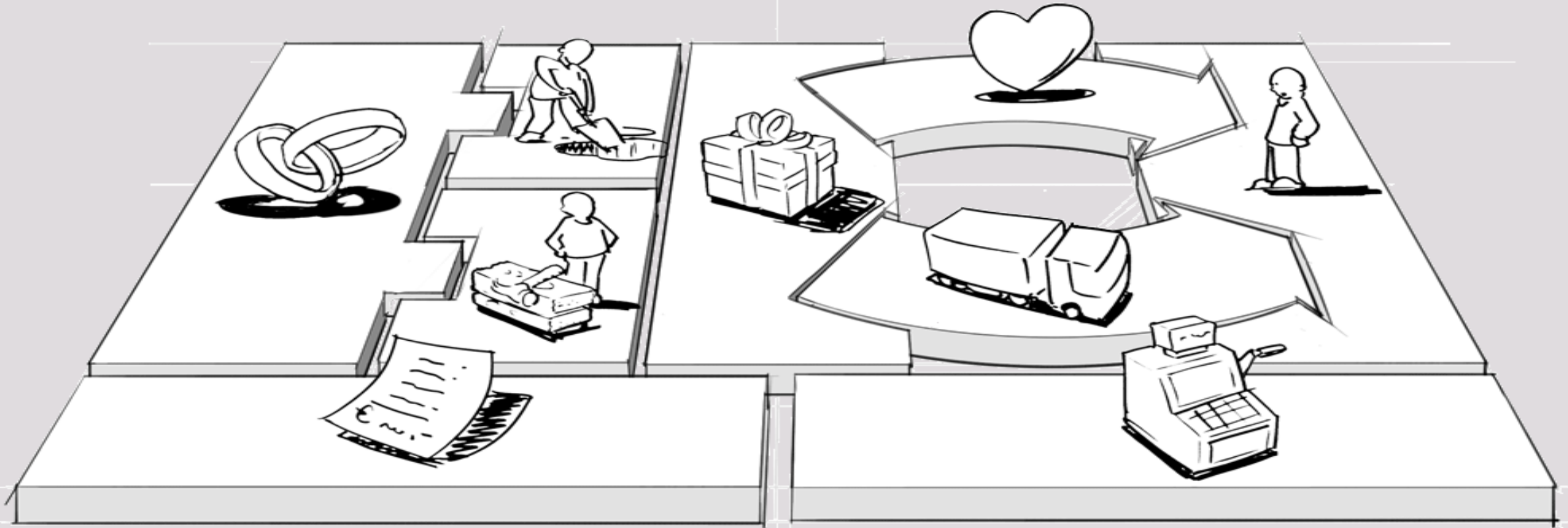
Which activities do you need to perform well in your business model? What is crucial?

KEY PARTNERS



Which partners and suppliers leverage your model?
Who do you need to rely on?

COST STRUCTURE



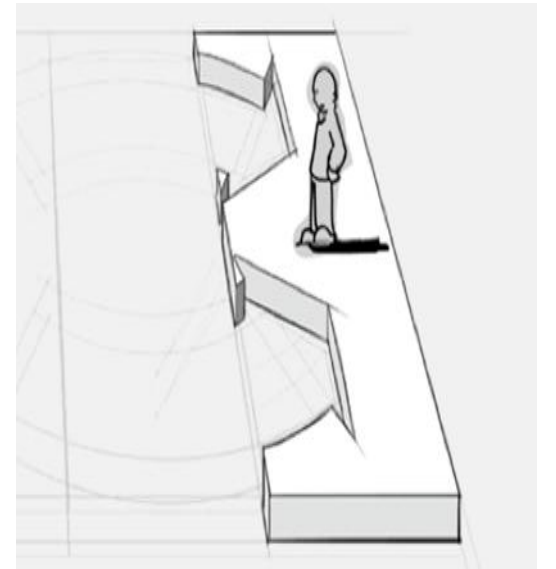
What is the resulting cost structure?
Which key elements drive your costs?

Customer Segments

Customer segments identify different groups of people or organizations that the company aims to reach and serve. Customers make up the heart of any business model. Without a profit-generating client, no company can survive .

In order to better serve customers, the company grouping customers and classifies them into distinct segments with common needs, behaviors or other attributes. The business model may have one or several segments of customers.

The business must make a conscious decision on which segments to serve and which ones to ignore. Once this decision is made, the business model can be carefully designed around a strong understanding of customer needs.



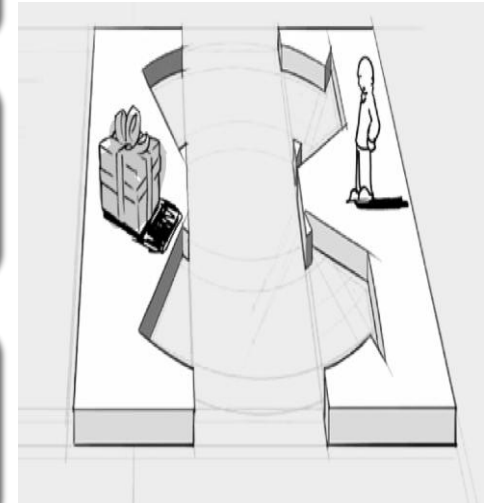
Value Proposition

Value proposition describes a group of products and services that create value for a specific segment of customers.

Value proposition is why customers turn from one company to another. This part solves customer's problem or satisfies a specific need.

The value proposition consist of a selected package of products and / or services that meet the requirements of a specific segment of customers. Therefore, the added value is the compilation or package of benefits the company offers to customers.

Some values may be innovative and represent a new or revolutionary offer, others may be similar to current market offerings, but with additional features.

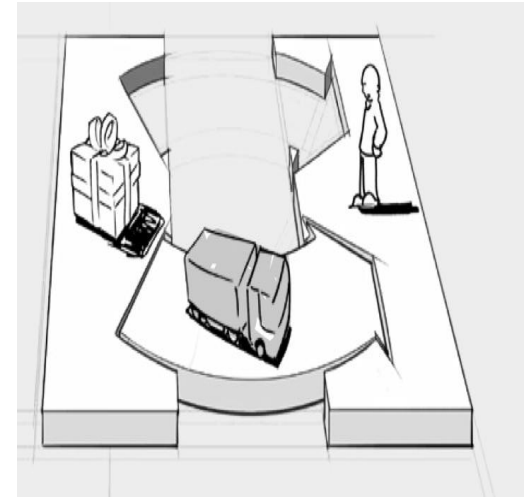


Channels

Channels describe how a company can communicate with and reach customer segments to deliver value added, distribution and sales.

Channels are customer communication points that play an important role in customer experience. The channels serve several functions, among them:

- Aware customers about the company's products and services
- Helping customers evaluate the value added proposition of the company
- Enable customers to purchase specific products and services
- Provide customer support after sales



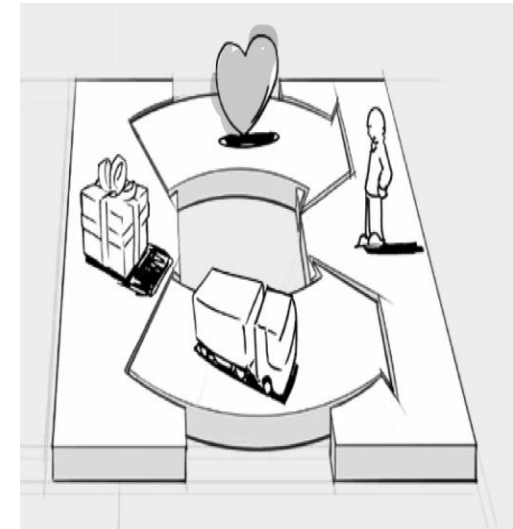
Customer Relationships

Customer relationships describe the relationships that the company establishes with specific segments of customers

The company should know the type of relationship it wants to establish with each customer segment. The relationship could range from personal to automated. Customer relationships may be driven by the following motives: Customer acquisition, Retain customers, Increase Sales

For example, in the early days of the mobile phone industry, customer relationships were based on customer acquisition strategies involving giving free mobile phones for new subscriptions. When they reached to market saturation, they switched to focus on maintaining customers and increasing average revenue from each customer.

Customer Relations affect deeply the overall experience of the customer with the company.



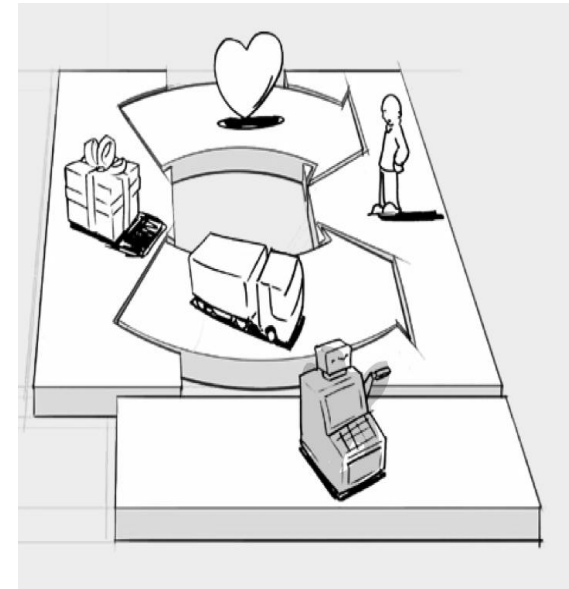
Revenues

The cash revenue represents the income that comes from each customer segment (costs must be subtracted from revenue to create profits).

If customers represent the heart of the business model, the sources of income represent its arteries. The company must always ask itself how much money each customer segment willing to pay for the value proposition? Successfully answering this question allows the company to generate one or more income sources from each customer segment.

Each revenue stream may have different pricing approach, such as fixed price list, bargaining, auction or others. Pricing approaches depend on the market size and demand.

The business model could involve two different types of revenue: 1. One-time revenue for each customer transaction 2. Recurring revenue from payments to other services that could be provided to deliver value added to customers or after sales customer support.



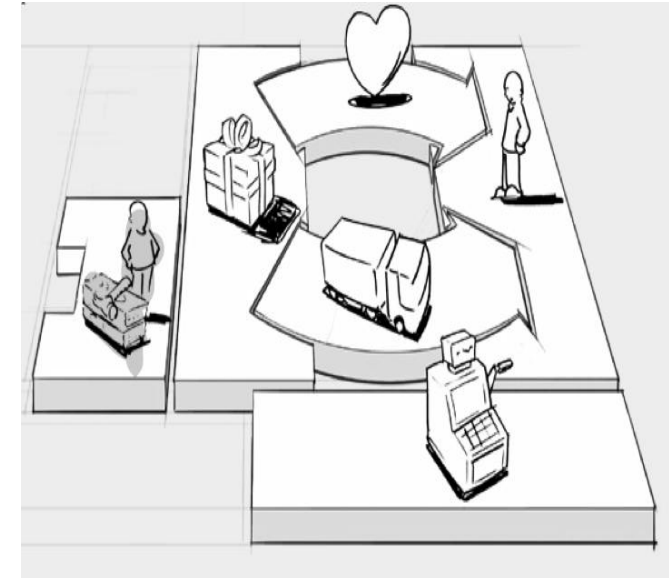
Key Resources

Key resources describe the most important assets needed to implement the business model

Each business model requires specific core resources. These resources allow the company to configure and deliver value proposition, market access, maintain relationships with customer segments, and earn revenue.

The need for key resources varies depending on the type of business model. For example, a computer processor chips factory needs to have high capital production facilities, while an electronic design company focuses more on human resources.

Resources can be material, financial, intellectual, or human. Can be owned or leased by the company or obtained from key partners.

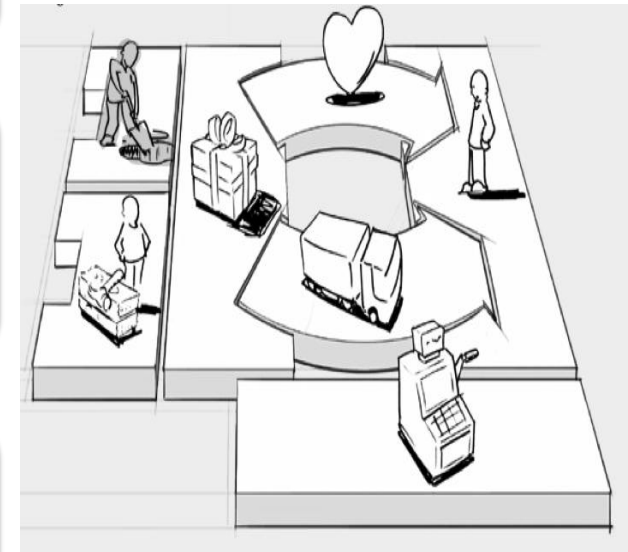


Key Activities

The main activities illustrate the most important activities needed to be implemented to have a successful business model.

This is the most important activities that a company must do in order to be successful. Like key resources, these activities are required to create and deliver value, access markets, maintain customer relationships, and earn revenue. Key activities vary depending on the type of business model

The software industry focuses, for example, on software development. Computer manufacturers focus on manufacturing and supply chain management. Consulting companies focus on solving problems for their customers.



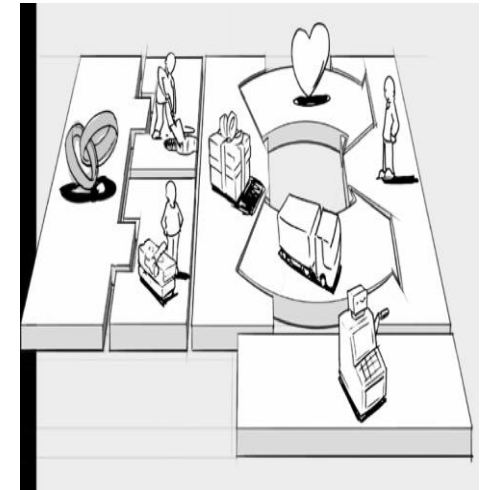
Partnership

Key partnerships describe a network of suppliers and partners that succeed in the business model.

Companies need partnerships for many reasons, partnerships have become the cornerstone of many business models. Companies create alliances to improve their business models, reduce risk, or access resources.

We can distinguish between four different types of partnerships:

1. Strategic alliances between non-competitive companies
2. Strategic partnerships between competitors (collaboration)
3. Joint ventures to develop new business
4. Relations between buyer and supplier to ensure the supply can be counted

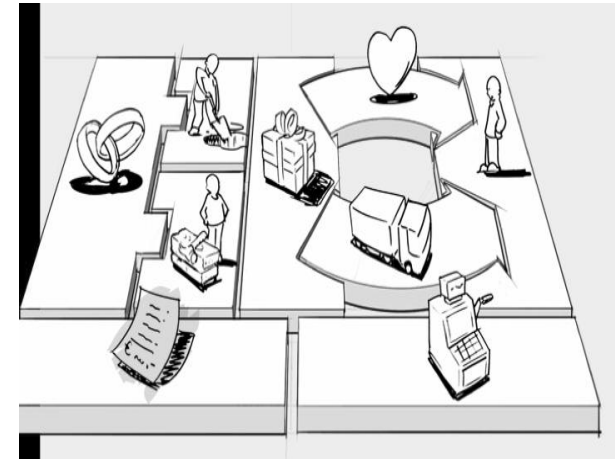


Cost Structure

The cost structure describes all the costs incurred by the company to run the business model. This brickwork describes the costs of working under a particular business model to form and deliver value, maintain customer relationships, and generate income.

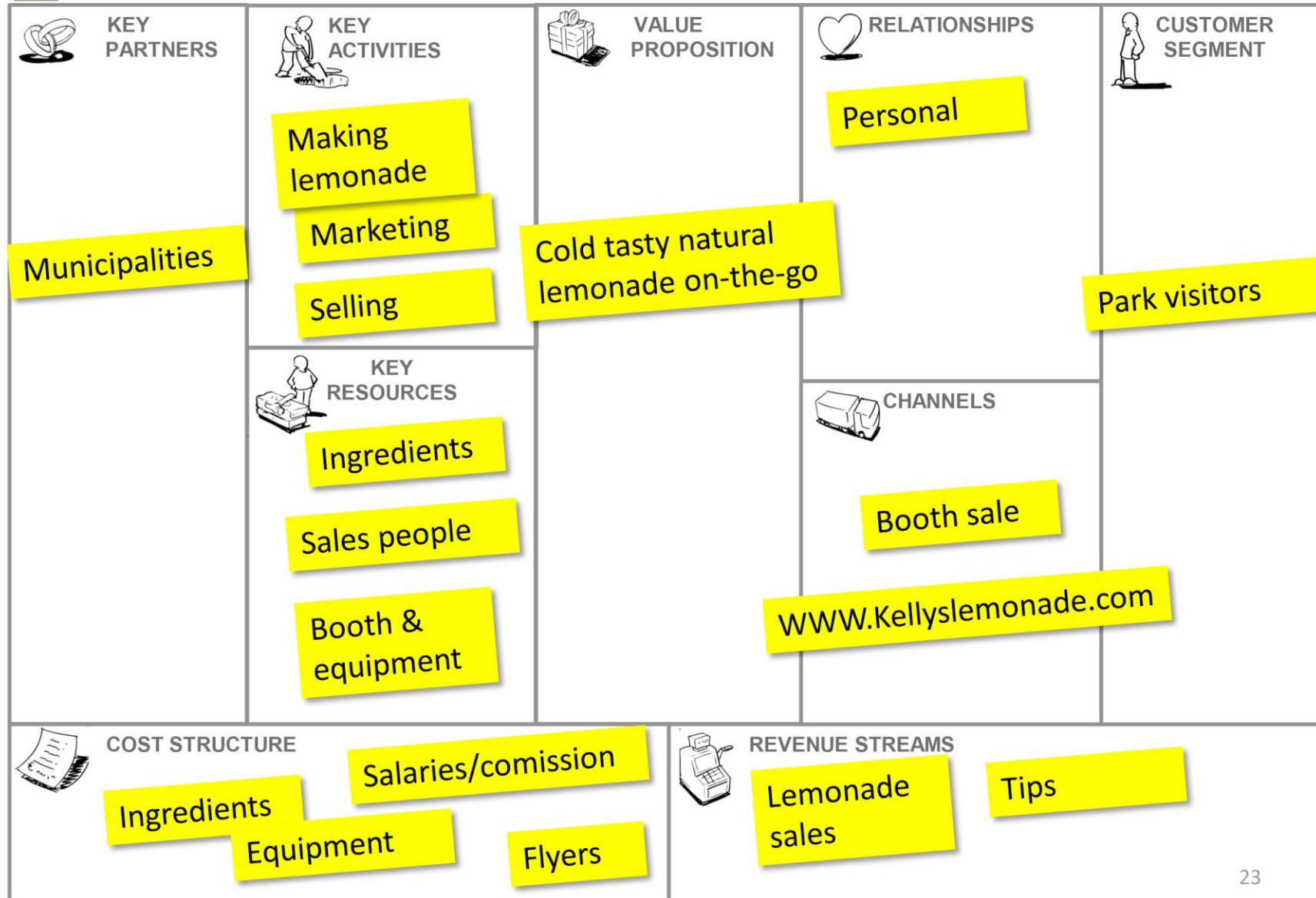
These costs can be calculated relatively easily after identifying key resources, key activities, and key partnerships.

Some business models are more focused on reducing costs than others. Some airlines, for example, have built business models around low-cost structures.

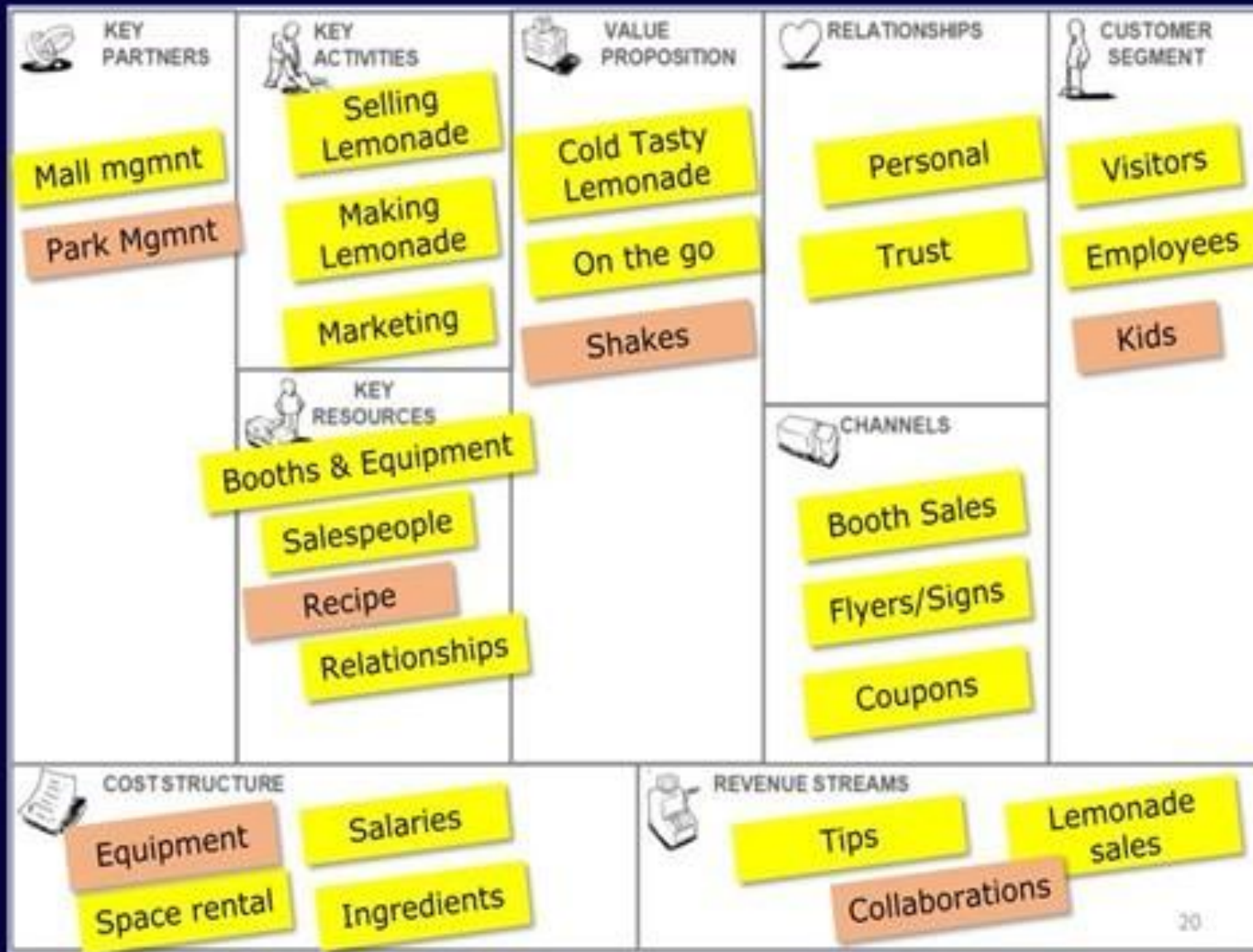




Kelly's Lemonade Stand: Refreshing Lemonade



23



Kelly's Lemonade Chain



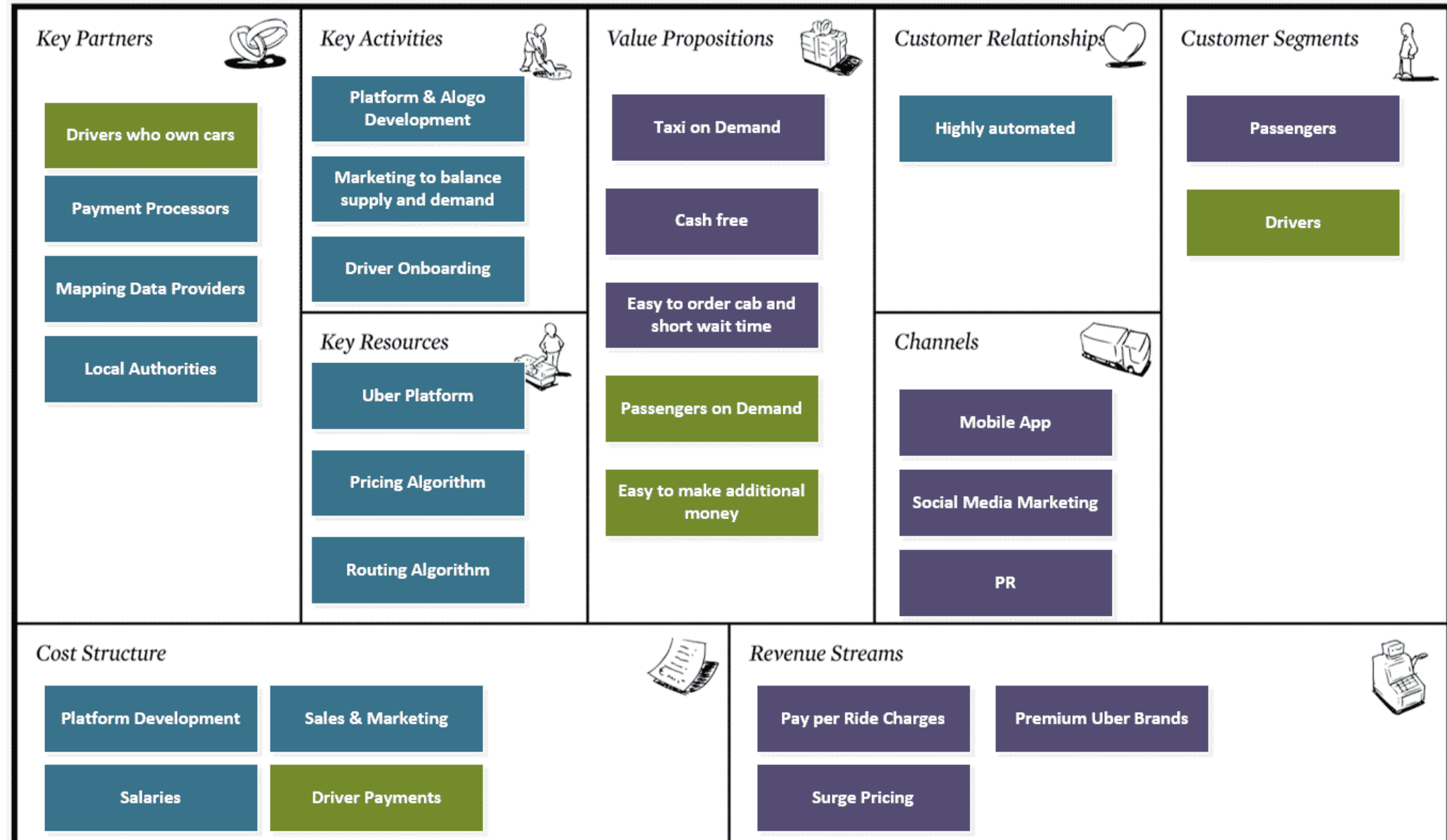
The Business Model Canvas

Designed for: **Uber**

Designed by: **Denis Oakley**

On: 27 1 2016

Iteration: 1.0



Business Mission

- A business's mission or mission statement describes why it exists and what its business model is supposed to accomplish.
- If carefully written and used properly, a mission statement can articulate a business's overarching priorities and act as its financial and moral compass.
- A well-written mission statement is something that a business can continually refer back to as it makes important decisions in other elements of its business model.

tumblr.

"To empower creators to make their best work and get it in front of the audience they deserve."



"To give people the power to share and make the world more open and connected."

LinkedIn

"To connect the world's professionals to make them more productive and successful."



"To give everyone the power to create and share ideas and information instantly, without barriers."

amazon.com

"To be Earth's most customer-centric company, where customers can find and discover anything they might want to buy online, and endeavors to offer its customers the lowest possible prices."

ASOS

"To become the number 1 fashion destination for 20-somethings globally."

Alibaba Group

"To make it easy to do business anywhere."

PayPal

"To build the Web's most convenient, secure, cost-effective payment solution."



"To enable people and businesses throughout the world to realize their full potential."



"To organize the world's information and make it universally accessible and useful."



"Utilize the power of Moore's Law to bring smart, connected devices to every person on earth."



"To move the web forward and give web designers and developers the best tools and services in the world."



"Shape the future of the Internet by creating unprecedented value and opportunity for our customers, employees, investors, and ecosystem partners."



"To be the catalyst in communities of customers, contributors, and partners creating better technology the open source way."



"To improve its customers' financial lives so profoundly, they couldn't imagine going back to the old way."



"Improving people's lives through meaningful innovation."

Financials (1 of 5)

- Financials
 - The “Revenue” component of a firm’s business model focuses on its financials.
 - This is the only section of a firm’s business model that describes how it earns money—thus, it is extremely important.
 - For most businesses, the manner in which it makes money is one of the most fundamental aspects of its business model.

Financials (2 of 5)

- A firm's revenue streams describe the ways in which it makes money.

Revenue Streams :

1. Assets Sales
2. Usage fee
3. Subscription Fee
4. Lending /Renting/Leasing
5. Licensing
6. Brokerage Fees
7. Advertising

Financials (3 of 5)

- Cost Structure
 - A business's cost structure describes the most important costs incurred to support its business model.
 - It costs money to establish a basis of differentiation, develop core competencies, acquire and develop key assets, and so forth.
 - Generally, the goal for this box in a firm's business model template is threefold:
 - Identify whether the business is a cost-driven or value-driven business.
 - Identify the nature of the business's costs.
 - Identify the business's major cost categories.

Financials (4 of 5)

- Financing/Funding
 - Many business models rely on a certain amount of financing or funding to bring their business model to life.
 - At the business model stage projections do not need to be completed to determine the exact amount of money that is needed. An approximation is sufficient.
 - There are three categories of costs to consider:
 - Capital costs.
 - One-time expenses, such as building a website and training initial employees.
 - Provisions for ramp-up expenses (most businesses incur costs before they earn revenues).

Financials (5 of 5)

- Financing/Funding (continued)
 - Some entrepreneurs are able to draw from personal resources to fund their business. In other cases, the business may be simple enough that it is funded from its own profits from day one.
 - In many cases, however, an initial infusion of funding or financing is needed.
 - The business model template should indicate the appropriate amount of funding that will be needed and where the money will most likely come from.